

For Sansera Engineering, the sudden spike in US tariffs is nothing short of a punch in the gut. The company, known for its precision engine and transmission components for the automotive sector, spent over 15 years building a presence in the US, garnering clients like Polaris, Harley-Davidson and General Motors.

According to chairman & MD S. Sekhar Vasan, the impact of tariffs depends heavily on export terms, or 'incoterms' (international commercial terms) for delivery. In Sansera's case, there are two delivery conditions. In the first, goods are delivered at Indian ports and picked up by the clients, who bear the tariff directly. In the second, the exporter clears and delivers the goods, paying the duty upfront, and refunded later by the customer. "In both cases, the products will get expensive," says Vasan.

Then, there is the competition. Though Sansera has 16 manufacturing facilities, 15 in India and one in Sweden, it isn't the exclusive supplier for most of its components. "Our customers have alternatives," says Preetham B.R., executive director & Group CEO. The only consolation is that gestation periods are long, which buys them time.

There are other challenges. Among them is the United States-Mexico-Canada Agreement (USMCA), which mandates that US automakers source at least 65 per cent of their 'residual value content' (RVC) from within the region. That figure is set to climb to 70 per cent. Worse, unlike tariffs, the RVC is permanent.

To future-proof business, Sansera is considering setting up a front-ending facility in the US, like it has in Europe. "When you cater to large volumes, customers aren't comfortable sourcing from 10,000 km away. There's always a risk of disruption," says Preetham. Like the current one. ■